

every case? No.

And was General Electric really worth only \$8.50 a share in 1932?

How about Warner Brothers at 50 cents? No.

After the crash, people and businesses did cut back. There was also consolidation among businesses. In the 1930s, Allen notes, there was

“more zeal for consolidating businesses than for expanding them or initiating them.” With stock prices low, the cash-rich investors in corporate America had a chance to steal some things. Why invest in new oil wells when you can buy them on the stock market for less than half of what it would cost you to drill new ones? Why build new factories when you can buy a competitor for 20 cents on the dollar?

The aftermath of the crash is a good time to buy — with an important caveat, as Feldman points out: “Stock prices were *so low that so long as a company did not go out of business*, practically anything you might buy was certain to go up, if not sooner, then later.” (italics added)

We might call this “Feldman’s law of depression investing.”

You can’t be sure the stock you own won’t fall from \$16 to \$1.50. In fact, I owned some stocks that did just that. But my stocks came back.

Why? Because I was careful about owning stocks in good financial shape and with manageable debt levels. In cases where they did not come back and I was saddled with a big loss, it was always because I had invested in a weak balance sheet that couldn’t hold up in the crisis.

Feldman’s law is not as easy to apply as it may sound. By the end of 1933, more than 5,000 banks failed. Thousands of businesses also failed.

Auburn Automobile, for instance, traded as high as \$514 per share in 1929 and went to near 0 in 1933. I’m sure to investors in 1929, Auburn at zero in three years was unthinkable. Such is the way of financial disasters.

The economic devastation during the 1930s is hard to fathom. Statistics alone fail to capture it all, but what we have is breathtaking. The amount of money paid out in salaries dropped 40 percent from 1929 to 1932, according to the National Bureau of Economic Research. Dividends fell 56 percent. The unemployment rate was about 25 percent in 1932. In Buffalo, unemployment was 31 percent, which was